



INCOME TAX ACT, 1961

THE ACT COMPRISES 23 CHAPTERS, ORGANISED INTO 298 SECTIONS AND SUPPORTED BY 14 SCHEDULES

Basis of Charge

The concept of "Previous Year" and "Assessment Year" form the basis of determining tax liabilities

The Income Tax Bill, 2025, aims to do away with the arcana that had crept into the old Income Tax Act, 1961. Here is a look at some of the proposed changes

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Incomes Not Included in Total Income

Section 10 prescribes incomes not to be included in the total income. This section has over 50 sub-sections, each enumerating lists of incomes exempt for various classes of taxpayers, such as individuals, HUF, partners, trusts, and companies

Sale of depreciable business asset

There was ambiguity in the treatment of gains or losses arising from the sale of depreciable assets. Such transactions could be interpreted as either capital gains/losses or income/losses under Profits and Gains of Business or Profession (PGBP)



Salary

There were multiple instances of cross reference between sections and rules that often led to complications

Written Down Value (WDV)

The definition of WDV was prescribed under Section 43(6) of the Act. This section included numerous sub-clauses and explanations Business or Profession (PGBP)

Capital Gains Exemption on Investment in Bonds

Under Section 54EC, exemption from long-term capital gains tax was tied to the transfer of a "long-term capital asset". Relying on the Supreme Court rulings, even short-term capital gains on depreciable assets were eligible for exemption if transferred from a block of assets

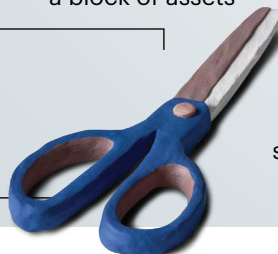


Directions of Dispute Resolution Panel (DRP)

Section 144C lacked clarity regarding the manner of issuing directions by the DRP

Tax Deducted at Source

Over 40 standalone sections navigate the intricate provisions surrounding TDS compliance



Income Computation and Disclosure Standards

Under Section 145(2), centre notifies income computation and disclosure standards through the Official Gazette